

SiyaBusa ERP

SAFE EXPLAINED SIMPLE

Investor & Partner Documentation

Masaphokati Technologies (Pty) Ltd

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INVESTMENT INSTRUMENT GUIDE

A plain-English explanation of the Simple Agreement for Future Equity (SAFE) investment instrument used for this funding round.

Understanding SAFE - Simple Agreement for Future Equity

In Plain English (Layman's Terms)

What is a SAFE?

SAFE = "I give you money now, you give me shares later"

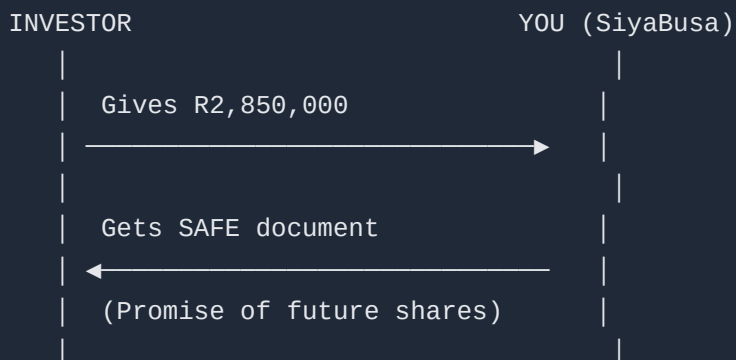
Think of it like this:

Imagine you're opening a restaurant. Your friend believes in you and gives you R100,000 to help you start. But instead of lending you money (which you'd have to pay back with interest), your friend says: "When your restaurant becomes successful and you bring in bigger investors, give me shares at a discount."

That's essentially what a SAFE is.

How It Works (Step by Step)

TODAY (January 2026)



Investor does NOT get shares yet

Investor does NOT get repaid like a loan

Investor gets a PROMISE of shares at next funding round

FUTURE (Maybe 2027-2028) - "Conversion Event"

When you raise a "priced round" (e.g., Series A where a VC invests R20M and values company at R100M):

INVESTOR'S SAFE CONVERTS TO SHARES

Their R2,850,000 becomes shares, BUT:

Option A: VALUATION CAP (R15M)

Even if company is now worth R100M,
investor's shares are calculated as if
company was only worth R15M.

Result: They get MORE shares than later investors

Option B: DISCOUNT (20%)

Whatever price new investors pay per share,
SAFE investor pays 20% less.

THE INVESTOR GETS WHICHEVER IS BETTER FOR THEM.

Why SAFE Instead of a Loan?

Loan	SAFE
Must be repaid with interest	No repayment - converts to ownership
Monthly payments stress cash flow	No payments until exit
If business fails, still owe money	If business fails, investor loses (like you)
Doesn't align investor with success	Investor wins when you win

Why SAFE Instead of Selling Shares Now?

Selling Shares Now	SAFE
Need expensive lawyer to value company	Simple document, low legal costs
Need to agree on exact valuation	Defer valuation to later
Takes months to negotiate	Can close in days
Creates complex shareholder structure	Clean cap table until conversion

The Key Terms Explained

1. Valuation Cap (R15,000,000)

Plain English: *"No matter how valuable the company becomes, your investment converts as if the company is worth R15M."*

Example:

- Investor puts in R2,850,000
- Later, company valued at R100,000,000
- Without cap: $R2,850,000 \div R100M = 2.85\%$ ownership
- With R15M cap: $R2,850,000 \div R15M = 19\%$ ownership

The cap protects the early investor for taking risk when the company was unproven.

2. Discount (20%)

Plain English: *"Whatever price new investors pay, you pay 20% less."*

Example:

- New investor buys shares at R100 each

- SAFE investor pays R80 each (20% discount)
- Same money buys 25% more shares

3. Which Applies?

The investor gets whichever method gives them MORE shares. Usually the valuation cap is better if the company grows significantly.

When Does the Investor Get Their Money Back?

They don't get "money back" - they get shares that become valuable.

EXIT SCENARIOS (How Investor Makes Money)

SCENARIO 1: ACQUISITION

A big company (e.g., Sage, Microsoft) buys SiyaBusa for R200M.

Investor's shares = 19% of R200M = R38M

Return: R38M on R2.85M investment = 13x return

SCENARIO 2: IPO (Stock Market Listing)

SiyaBusa lists on JSE at R500M valuation.

Investor's shares = 19% of R500M = R95M

(Can sell shares on open market)

SCENARIO 3: SECONDARY SALE

New investor in Series B wants to buy some existing shares.

Early investor can sell some/all shares to them.

SCENARIO 4: DIVIDENDS

If company becomes profitable and pays dividends,
investor receives proportional dividends.

SCENARIO 5: COMPANY FAILS

Investor loses their investment (just like founders lose their time).
This is the risk they took.

Timeline Example

2026 (NOW)

└─▶ SAFE Investment: R2,850,000
| Valuation Cap: R15M
| Investor has: SAFE document (promise of shares)

▼

2027

└─▶ Series A Round
| New investor puts in R20M at R80M valuation
| SAFE converts: $R2.85M \div R15M \text{ cap} = 19\% \text{ ownership}$
| Investor now has: Actual shares (19%)

▼

2028

└─▶ Series B Round
| Company valued at R200M
| Investor's 19% = R38M (on paper)
| Option: Sell some shares to new investors

▼

2030

└─▶ EXIT: Acquisition for R500M
| Investor's 19% = R95M cash
| Return: 33x on original R2.85M

Risks for the Investor (Be Honest About These)

Risk	Explanation
Company fails	Investor loses entire R2.85M
No exit happens	Shares exist but can't be sold
Dilution	Future funding rounds reduce percentage
Long wait	May take 5-10 years to see returns
Illiquid	Can't easily sell shares like stock market

Why This is Fair for Both Sides

For You (Founder):

- No debt to repay
- No monthly payments
- Investor is aligned with your success
- Simple, fast to close

For Investor:

- Protected by valuation cap
- Gets rewarded for early risk
- Upside if company succeeds
- Standard instrument (not unusual)

How to Explain It in 30 Seconds

"I'm raising R2.85M using a SAFE - it's like a promise to give shares later. You're not lending me money, you're buying a ticket to own part of the company. The R15M cap means even if we're worth R100M later, your shares are calculated as if we're worth R15M - so you get rewarded for believing early. You make money when we exit - either someone buys us, or we list on the stock market."

Sources & Validation

Where SAFE Comes From

- **Created by:** Y Combinator (2013) - the world's most successful startup accelerator
- **Used by:** Thousands of startups globally including Dropbox, Airbnb, Stripe (in their early days)
- **Legal basis:** Contract law - it's a binding agreement between two parties
- **SA applicability:** Valid under South African contract law; should be reviewed by SA attorney

Market Data Sources (For Your Research Claims)

Claim	Source	How to Verify
60,000+ mid-market businesses	Stats SA Quarterly Employment Statistics	www.statssa.gov.za
Enterprise software growth 18%	IDC South Africa IT Spending Guide	Request from IDC
ERP market size R8B+	Gartner Magic Quadrant for Cloud ERP	Request from Gartner
Mid-market ERP pricing	Published pricing from vendor websites	Check SAP, Oracle, Microsoft partner sites

Questions Investors Might Ask

Q: Is this a loan?

A: No. You're buying future equity, not lending money.

Q: When do I get my money back?

A: You don't get money "back" - your investment converts to shares, which become valuable at exit.

Q: What if there's no exit?

A: Your shares exist but may be hard to sell. This is the risk of early-stage investing.

Q: What if the company fails?

A: You lose your investment. This is why SAFEs are for risk-tolerant investors.

Q: Can I get my money out early?

A: Not automatically. You'd need to find a buyer for your SAFE or shares.

This explanation is for educational purposes. Please have any investment agreement reviewed by a qualified attorney before signing.